

EXECUTIVE BRIEFING: Retail Deposit Attrition & Capital-at-Risk

Prepared for: Board of Directors | Chief Risk Officer | ECB Supervisory Stakeholders[cite: 1]
Classification: Board-Level Risk Advisory | Confidential[cite: 1]

HEADLINE: 24.26% of portfolio value (€185.59M) has exited — 4.3 points above the 20.37% account-level churn rate[cite: 1]. Higher-balance customers are leaving disproportionately[cite: 1].

1. Executive KPI Scorecard

- **Total Account Base:** 10,000[cite: 1]
- **Aggregate Churn Rate:** 20.37% (Target: < 15.00%) | [STATUS: Critical - Above Target][cite: 1]
- **Total Capital Lost:** €185.59M (24.26% of ledger) | [STATUS: Critical][cite: 1]
- **German Market Churn Rate:** 32.44% (Portfolio Avg: 20.37%) | [STATUS: Critical - GRI 1.59][cite: 1]
- **Age 46-60 Churn Rate:** 51.12% (Portfolio Avg: 20.37%) | [STATUS: Critical - Highest-density loss][cite: 1]
- **3+ Product Failure Rate:** 85.89% (Target: < 20.00%) | [STATUS: Mis-selling/friction signal][cite: 1]
- **Activity Penalty Spread:** 12.58 pts | [STATUS: Actionable, low-cost lever][cite: 1]

Composite Risk Grade: HIGH — Board Escalation Warranted[cite: 1]

2. Top 4 Systemic Portfolio Vulnerabilities

- **Vulnerability 1: German Capital Exposure**
€97.97M lost (52.8% of all lost balance) from a market holding only 25.1% of accounts (GRI = 1.59)[cite: 1]. This represents the single largest concentration risk in the portfolio[cite: 1].
- **Vulnerability 2: Pre-Retirement Wealth Drain (Age 46–60)**
51.12% churn (2.5x baseline)[cite: 1]. Represents 41.3% of all churn events and 40.5% of all lost balance from just 16.5% of the account base[cite: 1].
- **Vulnerability 3: The Multi-Product Paradox**
2 products = 7.58% churn (optimal), while 3 products = 82.71% and 4 products = 100.00% (Blended 3+ failure rate: 85.89%)[cite: 1]. Signals cross-sell governance failure rather than loyalty gains[cite: 1].
- **Vulnerability 4: Inactive Account Drag**
Inactive members churn 12.58 points higher than active members (26.85% vs. 14.27%)[cite: 1]. This serves as the lowest-cost, highest-leverage operational lever[cite: 1].

3. Strategic Action Plan

Priority Framework (Impact vs. Urgency)

- **High Urgency / High Impact [Immediate Focus]:**

- German deposit retention and yield re-pricing[cite: 1]
- Age 46–60 wealth advisory deployment[cite: 1]
- **High Urgency / Lower Impact:**
 - Inactive-member re-engagement campaigns[cite: 1]
- **Lower Urgency / High Impact:**
 - Cross-sell governance cap (enforce 2-product ceiling)[cite: 1]
- **Lower Urgency / Lower Impact [Deprioritized]:**
 - Credit-card retention marketing (no statistical effect: 20.18% vs. 20.81%)[cite: 1]

Immediate Actions (0–90 Days)

1. **Germany:** Launch retention-desk outreach for at-risk, high-balance German accounts; commission deposit-yield elasticity study against competing German neobanks[cite: 1].
2. **Age 46–60:** Stand up dedicated pre-retirement wealth advisory track with proactive RM outreach triggered on declining activity[cite: 1].
3. **Product Governance:** Freeze uncontrolled 3rd/4th-product cross-sell; require managerial sign-off beyond 2 products[cite: 1].
4. **Activity:** Deploy low-cost engagement nudges (app and transaction triggers) portfolio-wide to close the 12.58-pt activity gap[cite: 1].

4. Projected Recovery — Scenario Simulation

Simulated Intervention: 20% reduction in German churn + 25% retention boost in Age 46–60 + 15% cross-sell conversion (1 to 2 products)[cite: 1].

Target Outcomes

- **Capital Preserved:** ~€48.2 Million[cite: 1]
- **Blended Churn Rate:** Reduced from 20.37% to ~15.4% (Down 4.97 pts)[cite: 1]
- **Target Trajectory:** Portfolio moves within target threshold (<15.0%), narrowly reinforcing execution urgency[cite: 1].

Recovery Levers Breakdown

- **German churn reduction (-20%):** Yield re-pricing + retention desk (largest single balance contribution)[cite: 1].
- **Age 46–60 retention (+25%):** Wealth advisory deployment (addresses highest loss-density segment)[cite: 1].
- **Cross-sell conversion (+15%):** Capped 1-to-2 product migration (moves 50.8% of account volume toward 7.58% churn optimum)[cite: 1].

Inaction preserves a 24.26% capital-at-risk exposure and a churn rate 5.4 points above target[cite: 1]. The modeled intervention set is achievable with existing product and advisory infrastructure and recovers ~€48.2M[cite: 1].